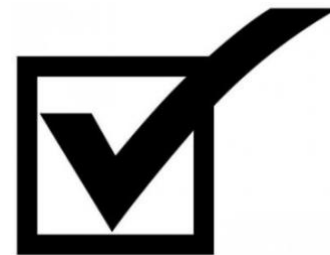




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



PAYROLL ACCOUNTING

(125)

NATIONALS 2022

CONCEPT KNOWLEDGE:

True/False (10 @ 2 points each) _____ (20 points)

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer (13 @ 2 points each) _____ (26 points)

Job 1 – Calculating Unemployment Taxes (2 points each) _____ (22 points)

Job 2 – Journalizing Employer Payroll Tax (2 points each) _____ (24 points)

Job 3 – Completing a W-2 (2 points each) _____ (32 points)

TOTAL POINTS _____ ***(154 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214.

Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

**2 points each = 20
points**

TRUE/FALSE	
1.	A
2.	A
3.	B
4.	A
5.	B
6.	B
7.	B
8.	B
9.	B
10.	A

**2 points each = 30
points**

MULTIPLE CHOICE	
11.	A
12.	B
13.	D
14.	D
15.	B
16.	A
17.	B
18.	B
19.	B
20.	C
21.	B
22.	C
23.	C
24.	D
25.	B

**2 points each = 18
points**

Short Answer	
26.	\$6,040.00
27.	\$4,208.16
28.	\$1,002.52
29a.	\$59.41
29b.	\$89.12
29c.	\$1,069.44 or \$1,069.43
29d.	\$5,822.44 or \$5,822.43
30a.	\$3,649.25
30b.	\$1,824.63
30c.	\$1,684.27
30d.	842.13
30e.	\$21.05
30f.	\$31.58

Job 1: Calculating Unemployment Payroll Taxes (11 @ 2 points each for shaded answer = 22 points)

Calculate the amount of earnings subject to unemployment taxes. Unemployment taxes are owed on the first \$7,000.00 of earnings for each employee.

Employee	Accumulated Earnings, February 28	Total Earnings for March 1 – 15 Pay Period	Unemployment Taxable Earnings
Adamson, Jillian	4,187.74	2,093.87	2,093.87
Barkly, Jordyn	2,547.50	1,273.75	1,273.75
Davis, Neal	3,642.68	1,214.23	1,214.23
Fisher, Emma	4,697.25	3,348.63	2,302.75
Greaves, William	2,963.87	1,481.94	1,481.94
	Totals	9,412.42	8,366.54
Social Security Tax Payable		583.57	
Medicare Tax Payable		136.48	
Federal Unemployment Tax Payable		66.93	
State Unemployment Tax Payable		451.79	

Job 2: Journalizing Payroll & Unemployment Taxes (12 @ 2 points each for shaded answer = 24 points)

General Journal						Page 4
Date		Account Title	Doc. No.	Post. Ref.	Debit	Credit
Mar.	15	Payroll (Taxes) Expense	M157		1,238.77	
		Social Security Tax Payable				583.57
		Medicare Tax Payable				136.48
		Unemployment Tax Payable – Federal (accept also Federal Unemployment Tax Payable or FUTA Payable)				66.93
		Unemployment Tax Payable – State (accept also State Unemployment Tax Payable or SUTA Payable)				451.79

Job 3: Creating the W-2 (2 points for each shaded answer = 32 points) Employee's complete address (2 lines) must be included to receive the 2 points. Employer's address comes from guidelines page and must be included (3 lines) to receive the 2 points.

22222		Void ☐		a Employee's social security number 123-45-6789		For Official Use Only ➤ OMB No. 1545-0008	
b Employer identification number (EIN) 20-1027060				1 Wages, tips, other compensation \$2,025.00		2 Federal income tax withheld \$172.13	
c Employer's name, address, and ZIP code Digital Solutions 700 Morse Road, Suite 201 Columbus, Ohio 43214				3 Social security wages \$2,025.00		4 Social security tax withheld \$125.55	
				5 Medicare wages and tips \$2,025.00		6 Medicare tax withheld \$29.36	
				7 Social security tips		8 Allocated tips	
d Control number				9 Verification code		10 Dependent care benefits	
e Employee's first name & initial Michael J.		Last name Brite		Suff.		11 Nonqualified plans	
f Employee's address and ZIP code 867 Commerce St. Columbus, Ohio 43214				13 Statutory employee ☐		Retirement plan ☐	
				Third-party sick pay ☐		12b	
				14 Other		12c	
						12d	
15 State OH		Employer's state ID number 540687254		16 State wages, tips, etc. \$2,025.00		17 State income tax \$62.96	
						18 Local wages, tips, etc.	
						19 Local income tax	
						20 Locality name	

Form **W-2** Wage and Tax Statement

Copy A For Social Security Administration – Send this entire page with Form W-3 to the Social Security Administration; photocopies are not acceptable.

2021

Department of the Treasury-Internal Revenue Service
For Privacy Act and Paperwork Reduction Act Notice, see the separate instructions.

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